



DALAL & BROACHA
STOCK BROKING PVT. LTD.

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Result Update@ Dalal & Broacha

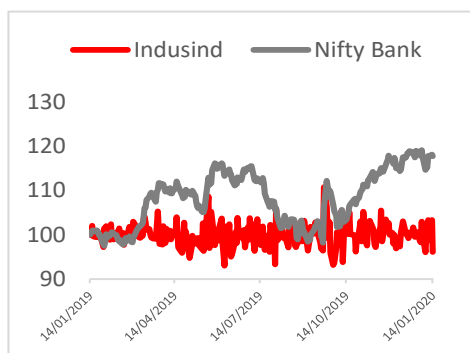
Not Rated

Current Price (Rs)	1481
52 Week Range	1835

Key Share Data

Market Cap (Rs.bn)	1027
Market Cap (US\$ mn)	14484
No of o/s shares (Cr)	69.31
Face Value	10
BSE Code	532187
NSE Code	INDUSINDBK
Bloomberg	IIB:IN

Price performance



% Shareholding	Dec-19	Sept-19
FII	52.10	47.23
DII	12.64	11.46
Others	35.26	41.31
Total	100	100

IndusInd Bank has reported a stable set of numbers for the quarter ended December 2019. Bank's operating performance remained strong, with PPOP up by 30% YoY/6% QoQ at Rs 27.46 Bn, supported by strong growth in NII (34% YoY & 6% QoQ) and healthy traction in other income (22% YoY/4% QoQ). Bank's NIM continued to see improvement, inching up to 4.15% from 3.59% in Q4FY19, on account of better loan mix and falling cost of deposits. Going forward, we believe improvement in margins is a possibility considering improvement in liquidity scenario leading to lower cost of funds, while reduction in yields would be comparatively lower due to fact that 50% of loan book is fixed in nature & low competition from NBFC. However, sharp increase in gross slippages and higher provisions adversely impacted net profit for the quarter, which was down 6% QoQ (up by 32% YoY) at Rs 13 Bn.

Asset quality still remains a concern

Bank's asset quality remained elevated, with GNPA's at 2.18%, up by 105 bps YoY (-1 bps QoQ), while NNPA's at 1.05%, up by 46 bps YoY (-7 bps QoQ). PCR increased by 295 bps QoQ to 52.5% in the quarter, which is still below our comfort level. Annualized Slippage ratio was high in this quarter at 3.8%, due to stress in corporate as well as on consumer front, leading to high credit cost at 28bps. In value term, slippages stood at Rs 19.45 Bn Vs Rs 11.02 Bn in Q2FY20. Out of which, Rs 12.37 Bn came from Corporate segment (Vs 4.79 Bn QoQ) and 7.08 Bn came from Consumer segment (Vs Rs 6.23 Bn QoQ). SMA 1 & 2 inched up at 0.64% and 0.53% Vs 0.38% and 0.58% of loans respectively in Q2FY20. Meanwhile, Bank's exposure to 3 stressed groups highlighted in the last two quarters dipped to 47bps of the loan book vs. 1.1% QoQ. During the quarter, Bank has provided Rs 2.42 Bn (25% of total exposure) as provision for two accounts which were classified as "fraud-hit" following reports from forensic auditors. Out of total exposure to these two accounts, 25% debited to P&L, while remaining 75% drawn down from the reserves (drawn down amount shall be debited to P&L equally over the next 3 quarters).

Moderation in loan growth to 20% vs 5-Yr CAGR of 28%

Loan growth moderated to 20% YoY /5% QoQ in Q3FY20, due to decline in corporate book growth led by higher prepayments and conservative approach towards fresh lending. While corporate loan book grew by 8% YoY, vehicle loans grew by 16% YoY and non-vehicle loans (excluding MFI) grew by 17% YoY. Bank's microfinance business grew at a much faster pace, up by 44% YoY/ 10% QoQ. On the other hand, deposit growth is robust at 23% with improving traction from retail term deposits. CASA ratio remained stable at 42.4% (up by 90 bps QoQ), savings account growing 30% YoY while CA growing 2% YoY.

Outlook

IndusInd Bank has delivered a reasonable and sustainable earnings growth (better mix), with structural improvement in its liability franchise. Despite concerns on exposure to stressed groups, we find risk-reward favourable for long-term investors given the bank's adequate capital, healthy PPOP and calibrated growth approach. We believe earnings accretion from the merger (yet to fully crystallise), expected recovery in loan growth and improvement in margin will drive earnings in the upcoming quarters. At CMP the stock trades at 3.3x its 9MFY20 ABV.

Key Financials (Rs Mn)

Year	NII	PPOP	PAT	BVPS	P/BVPS
FY17	60.6	54.5	28.7	345	4.3
FY18	75.0	66.6	36.1	397	3.7
FY19	88.5	80.9	33.0	443	3.3



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P&L (Rs Bn)	FY17	FY18	FY19	9MFY20
Interest Earned	144.1	172.8	222.6	214.0
Interest Expended	83.4	97.8	134.1	125.7
NII	60.6	75.0	88.5	88.3
Other Income	41.7	47.5	56.5	51.8
Net Income	102.3	122.5	144.9	140.1
Opex	47.8	55.9	64.0	60.7
PPOP	54.5	66.6	80.9	79.4
Provisions	10.9	11.8	31.1	22.1
PBT	43.6	54.8	49.8	57.2
Tax	14.9	18.7	16.8	16.1
PAT	28.7	36.1	33.0	41.2

BS (Rs Bn)	FY17	FY18	FY19	9MFY20
Capital	6.0	6.0	6.0	6.9
Reserves	200.5	232.4	260.8	334.6
Deposits	1265.7	1516.4	1948.7	2167.1
Borrowings	224.5	382.9	473.2	468.1
Other Liabilities	89.8	78.6	89.4	102.6
Total	1786	2216	2778	3079
Cash & Bank	186.3	132.2	147.8	207.9
Investments	367.0	500.8	592.7	605.2
Advances	1130.8	1449.5	1863.9	2074.1
Fixed Assets	13.4	13.4	17.1	18.3
Other Assets	89.0	120.4	156.7	173.9
Total	1786	2216	2778	3079

Ratios (%)	FY17	FY18	FY19	9MFY20
Growth				
NII	61	75	88	33
Operating profit	142	166	229	32
Net profit	29	36	33	40
Advances	1131	1450	1864	20
Deposits	1266	1516	1949	23
Returns				
ROA	1.9%	1.9%	1.4%	1.9%
ROE	15.3%	16.5%	13.3%	17%

Ratios (%)	FY17	FY18	FY19	9MFY20
Asset quality				
GNPA	0.9	1.2	2.1	2.2
NNPA	0.4	0.5	1.2	1.1
PCR	58	56	43	53
Per share (Rs)				
EPS	48	60	55	59
BVPS	345	397	443	483
P/E	31	25	27	25
P/BVPS	4.3	3.7	3.3	3.1



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